Economics GCE A Level 2024 - Paper 1

Duration: 1h30 | Cameroon GCE Board

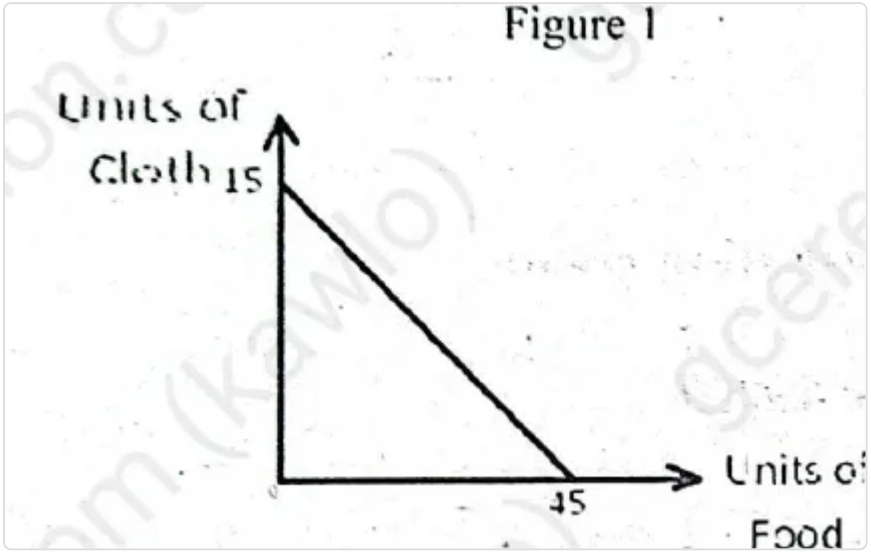
GENERAL CERTIFICATE OF EDUCATION (GCE) BOARD, General Certificate of Education Examination. 0725 ECONOMICS 1, JUNE 2024, ADVANCED LEVEL. Multiple choice question paper. Duration: one and a half hours. Mobile phones are NOT allowed in the examination room. Instructions to candidates: use a soft HB pencil throughout the examination and do not open the booklet until told to do so. Check that the question booklet is headed 'Advanced Level - 0725 Economics 1'. Fill in the information required on the answer sheet (candidate name, exam session, subject code and candidate identification number). Answer ALL the 50 questions in this examination. All questions carry equal marks. Each question has FOUR suggested answers: A, B, C and D. Decide which answer is correct, find the number of the question on the answer sheet and draw a horizontal line across the letter to join the square brackets for the answer you have chosen. Mark only one answer for each question: if you mark more than one answer you will score zero for that question. If you change your mind, erase the first mark carefully, then mark your new answer. Avoid spending too much time on any one question; if you find a question difficult, move on to the next and come back to it later. Do all rough work in the booklet, using the blank spaces where necessary.

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1. Economics is the study of:

a) ways to reduce wants to eliminate the problem of scarcity.
b) the distribution of the surplus goods to those in need.
c) the choices we make because of scarcity.
d) the affluence in a morally bankrupt world.

2. Question 2 is based on Figure 1 below.



The opportunity cost of one unit of food is

a) 30 units of cloth.
b) 1/3 units of cloth.

c) 60 units of cloth.
d) 15 units of cloth.

3. Which of the following best summarises the main difference between command and free market economies?

a) No specialisation in market economies unlike in command economies.
b) Production in a free-market economy is always more efficient.
c) Free market economies promote private ownership of resources unlike command economies.
d) No self interest in market economies unlike in command economies.

4. One reason why the free market fails to achieve an optimal allocation of scarce resources is because

a) individual incomes and wealth are not identical.
b) there is under production of goods with positive externalities.
c) public goods are provided free of charge to users.
d) positive externalities lead to over production of goods.

5. Question 5 is based on Table 1 below which shows changes in the size of a firm and its output.

Table 1

Land	Labour	Capital	Output
40	80	120	10,000
70	140	210	17,000

This firm is experiencing

a) economies of scale.
b) constant returns.
c) diseconomies of scale.
d) increasing returns to the variable factor.

6. Occupational mobility of labour can be limited by

a) social ties.
b) more education and training.
c) awareness of existing jobs.
d) differences in natural ability.

7. Which of the following is an internal source of finance for a firm?

a) Trade credit.
b) Retained profit.
c) Sale of shares.
d) Hire purchase.

8. One benefit of division of labour is

a) a fall in the use of machinery.
b) an increase in the flexibility of workers.
c) an increase in the job satisfaction of workers.
d) a fall in the average cost of production.

9. Which of the following constitutes the most risky investment in a company?

a) Ordinary shares.
b) Debentures.
c) Cumulative preference shares.
d) Participating preference shares.

10. Which of the following factors is an example of 'positive checks' in the Malthusian theory of population?

a) Abstention.
b) Cholera outbreaks.
c) Family planning.
d) Late marriages.

11. Dependency ratio is the ratio of the

a) young and old to working age people.
b) young to old people.
c) old to middle age people
d) young to working age people.

12. Black markets are likely to develop from a

a) minimum price legislation.
b) price floor legislation.
c) price control legislation.
d) maximum price legislation.

13. Identify the good whose demand falls with a rise income level.

a) Substitutes.
b) Inferior.
c) Luxuries.
d) Necessities.

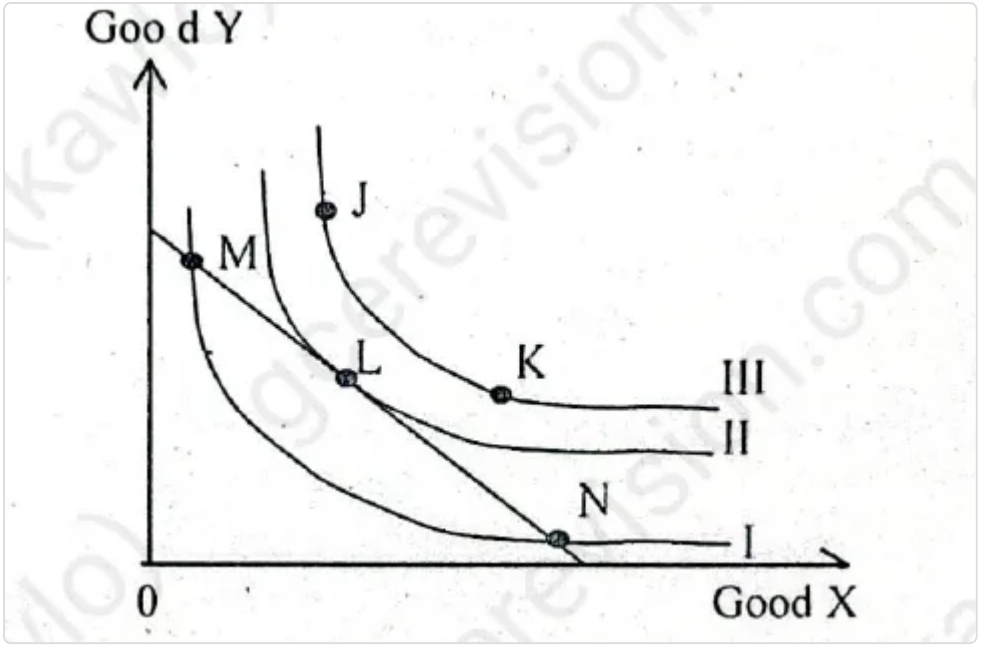
14. Why does a normal supply curve for a good slope upwards from left to right?

a) Supply increases following increases in demand.
b) Suppliers charge more to cover a rise in the cost of production.
c) Suppliers' profits increase as income increases.
d) Suppliers are willing to produce more as price increases.

15. If the elasticity of supply is greater than the elasticity of demand,

a) the incidence of a tax is more on the buyer
b) the incidence of a tax is more on the seller.
c) the impact of a tax is on the buyer.
d) the impact of a tax is on the seller.

16. Question 16 is based on Figure 2 below.



Which of the following combinations will give maximum satisfaction to the consumer ?

a) L
b) K
c) N
d) M

17. Which of the following will definitely cause a fall in the equilibrium price?

a) An increase in both demand and supply.
b) A fall in demand combined with an increase in supply.
c) A fall in both demand and supply.
d) An increase in demand combined with a fall in supply.

18. Question 18 is based on Table 2 below which concerns a firm operating in a perfectly competitive market and which has an average fixed cost of 120 FCFA. When the firm sells 5units of output, its total revenue is 275 MFCFA. Other information about the firm is as follows on Table 2 below.

Table 2

Units of Output	Average cost (FCFA)
1	145
2	75
3	55
4	50
5	54

At which level of output is average variable cost 25 FCFA?

a) 1 unit.
b) 2 units.

c) 3 units.
d) 5 units.

19. Price rigidity is a feature of oligopoly and can be as a result of

a) perfectly elastic demand.
b) Market interdependence.
c) perfectly inelastic demand .
d) price discrimination.

20. The practice of charging low prices with the intention of forcing out existing competitors from the industry is known as

a) predatory pricing.
b) skimming pricing.
c) limit pricing.
d) market penetration pricing.

21. The characteristic of *"free entry and exit"* in the perfect market

a) enables firms gain monopoly power.
b) reduces the degree of competition in the long- run.
c) enables firms break-even in the long run
d) eases government control on the firms in the market.

22. The phrase, "the supply price of entrepreneurship' ' refers to

a) rent of ability.
b) monopoly rent.
c) abnormal profit.
d) normal profit.

23. *"Pilots are highly paid because they have to undergo a long period of training"*. As an explanation of wage determination, this statement is

a) true, because greater skill merits higher pay.
b) true, because a person who undertakes a long period of training deserves a high reward.
c) false, because it ignores the conditions of supply.
d) inadequate,because it considers only one of the conditions.

24. Factor earnings that, even though a surplus in the short run, are just enough to prevent the factor from moving elsewhere in the long run are described as

a) transfer earnings .
b) normal profit.
c) transfer payment.
d) quasi rent.

25. Table 3 below shows the demand and supply of money in an economy (Figures in FCFA).

Table 3

Rate of interest (%)	Demand for active balances	Demand for idle balances
8	20,000	30,000
6	20,000	40,000
5	20,000	50,000
4	20,000	60,000

Suppose the supply of money is 50,000FCFA, determine the equilibrium rate of interest.

a) 8%.
b) 6%.
c) 5%.
d) 4%.

26. Question 26 is based on Table 4 showing changes in GDP and population over two periods, 2010 and 2015. Figures are in millions and the base year is 2010.

Table 4

Year	GDP	Population	Price Index
2010	100	100	100
2015	200	120	150

What is the percentage increase in the real GDP per capita between 2010 and 2015?

a) 11%.
b) 15%.
c) 18%.
d) 20%.

27. The difference between factor cost and market price is

a) net indirect taxes.
b) net direct taxes.
c) net direct taxes.
d) indirect taxes.

28. Why are intermediate goods not included in the calculation of National Income?

a) They are still in the process of finishing.
b) They decrease National Income.
c) To avoid double accounting.
d) They have no cost of production.

29. Which of the following represents an injection into the circular flow of income?

a) Saving.
b) Taxes.

c) Import.
d) Investment.

30. An increase in investment spending of 400 billion FCFA, leads to the following chain of increases in total spending (figures in billion FCFA) 400+320+256+..... What is the value of the multiplier?

a) 0.8.
b) 0.125.
c) 5.
d) 2.

31. This question is based on Table 5 below.

Table 5

Period	National income (millions FCFA)
1	300
2	400
3	500

If the value of the accelerator is 2, new investment in period 3 will be

a) 200 million FCFA.
b) 300 million FCFA.
c) 100 million FCFA.
d) 400 million FCFA.

32. The principle which explains the fact that 'an attempt to increase savings in an economy may lead to a fall in total savings'' in an economy is known as, the

a) paradox of thrift.
b) paradox of value.
c) accelerator principle.
d) multiplier principle.

33. For an open economy without government, the equilibrium condition is

a) savings plus imports equals Investments plus exports.
b) taxes plus imports equal government spending plus exports.
c) sum of consumption plus investments plus government expenditure.
d) savings plus taxes equal Investments plus government expenditures.

34. A high marginal propensity to consume, everything being equal, implies a

a) low marginal propensity to save.
b) small change in the consumption when income increase.
c) high savings rate .
d) high marginal tax rate.

35. The function of money which enables an individual to obtain a mobile telephone now and make payment at the end of the month is called

a) store of value.
b) unit of account.
c) medium of exchange.
d) standard of deferred payment.

36. Which of the following is the most profitable asset of a commercial bank?

a) Balances at the central bank.
b) Treasury bills.
c) Advance to customers.
d) Short-dated government stock.

37. Suppose a bank has no excess reserves. When someone deposits 100,000frs, given a cash ratio of 10%,the bank will then be able to lend

a) up to 1 million francs.
b) up to 100,000 francs.
c) up to 10,000 francs.
d) up to 90,000 francs.

38. Who benefits the most during an inflationary period?

a) Creditors.
b) Civil Servants.
c) Debtors
d) Business men.

39. How much will a citizen with a taxable income of 70,400FCFA pay as tax with a tax rate of 5% ?

a) 350 FCFA.
b) 35,200 FCFA.
c) 3,520 FCFA.
d) 3,500 FCFA.

40. *"Crowding out"* occurs when the government

a) increases taxes.
b) increases its borrowing and drives down private sector spending.
c) prints money which replaces currency in circulation.
d) runs a surplus and pays off part of the debt.

41. The main issue about the *"real burden"* of the national debt is understanding

Options as printed: A) how transfers redistribute income. B) the idea of opportunity cost. C) the difference between internally held debt and externally held debt. D) the relationship between the treasury and the central bank.

42. Which of the following is an automatic stabilizer?

a) Defense spending.
b) Proportional tax.
c) Scholarship grants.
d) Unemployment benefits.

43. Which of the following forms of economic integration deals with the free export and import of factors of production?

a) Common Market.
b) Economic Union.
c) Free Trade Area.
d) Customs Union.

44. Question 44 is based on table 6 below showing the quantity of exports and imports .

Table 6

Year	Export (Units)	Import (Units)
2018	75	60
2019	100	100
2020	150	125

The value of the terms of trade for this country in 2018 is

Options as printed: A) 120. B) 100. C) 150. D) 125.

45. Which of the following barriers on foreign trade is a source of government revenue?

a) Tariffs.
b) Subsidies.
c) Exchange control.
d) Direct prohibition.

46. Out of the following, identify an expenditure reducing measure of correcting a balance of payments disequilibrium.

a) Devaluation.
b) Income taxes.
c) Quotas.
d) Tariffs.

47. If a country is operating within the production possibilities frontier, it means

a) some resources are idle.
b) all resources are fully utilised.
c) economic growth .
d) full employment.

48. Developing countries generally face the problem of low per capita income and

a) high saving.
b) slow GNP growth rates.
c) high GNP growth rates.
d) low population growth.

49. Depression in a business cycle should be accompanied by

a) the lowest rate of unemployment.
b) the highest rate of increase in the price.
c) the greatest rate of growth in output.
d) Lowest investment opportunities.

50. What is the most likely short run effect on a country if it abolishes its import tariffs? The rate of

a) unemployment falls.
b) inflation rises.
c) inflation falls .
d) inflation and unemployment rise.

Want to check your answers?

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